BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Case 25-E-0072; 25-G-0073

November 26, 2025

Statement of Support for the Joint Proposal
Alliance for a Green Economy (AGREE)

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I. Introduction

Alliance for a Green Economy ("AGREE") is a public interest intervenor, which has participated in most major rate cases in New York since 2017 in order to ensure utility rates are affordable and consistent with New York state energy and climate policy and the public interest. We advocate for a just, affordable, and rapid transition to a renewable energy economy that powers clean and healthy heating and cooling in buildings across New York State.

We support the Joint Proposal ("JP") filed by Consolidated Edison ("the Company" or "ConEd"), the Department of Public Service Staff ("Staff"), and other parties on November 5th, 2025 in the above-referenced proceedings. The Joint Proposal represents a reasonable result of negotiations and is within the range of outcomes that could be expected from a litigated case, is supported or unopposed by several normally adversarial parties, and contains many public interest provisions that came out of the settlement process.

II. Specific Provisions Supported by AGREE

The Joint Proposal resolves issues that AGREE raised in testimony related to misalignment of rate design and rate outreach and education with New York's policies and law. The resolution of these issues in the Joint Proposal, coupled with the major reduction in the proposed rate increases when compared to the Company's original proposal, are a major reason we support the settlement. Additionally, we support the inclusion of several other public interest provisions – improved language access (Section M-4),[1] improved outreach around the Energy

[1] Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service, Cases 25-E-0072 & 25-G0073, Joint Proposal (November 5, 2025). Pg 83

Affordability Program (Section N-8),[2] inclusion of greenhouse gas accounting (Section P-2),[3] and improved outreach for the Company's service line non-pipe alternative program called Energy Exchange (Section L-3)[4] – which help make the rates more affordable for low-income people, make customer service more accessible, and make the Joint Proposal better align with the Climate Act.

In considering whether a negotiated settlement in a Public Service Commission ("Commission") proceeding is in the public interest, the Commission must consider whether the settlement is consistent "with law and with the regulatory, economic, social, and environmental policies of the Commission and the State."[5] Further, New York's Climate Leadership and Community Protection Act ("CLCPA" or "Climate Act") requires all state agency decisions to be consistent with the greenhouse gas reduction mandates outlined in the CLCPA. The Commission first formally acknowledged that this provision of the CLCPA applies to rate cases in 2021.[6]

To achieve the greenhouse gas emissions reductions required by the CLCPA (40% reduction from 1990 levels by 2030 and 85% reduction from 1990 levels by 2050), New York's Climate Action Council found that most buildings need to switch to heat pumps.[7] Heat pumps are highly efficient heating and cooling appliances that use electricity to move heat into and out of buildings. They do not combust fossil fuels to operate, and their high efficiency means that they use less electricity for heating than electric resistance heating and less electricity for cooling

[2] Ibid, pg 101
[3] Ibid, pg 116
[4] Ibid, pg 77
[5] Cases 90-M-0255 and 92-M-0139. Opinion, Order, and Resolution Adopting Settlement Procedures and Guidelines (issued March 24, 1992).
[6] Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company and KeySpan Gas East Corp, d/b/a National Grid NY for Gas Service, Cases 19-G-0309 and 19-G-0310. Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements (issued August 12, 2021). Pgs 69-70.
[7] New York State Climate Action Council. 2022. "New York State Climate Action Council Scoping Plan." pg 176. Available at: https://climate.ny.gov/resources/scoping-plan

than non-heat-pump air conditioning units. In recognition that heat pump adoption is an essential strategy for achieving the CLCPA mandates, New York provides rebates to help customers overcome the upfront costs of heat pumps through the Clean Heat program administered by the investor-owned electric utilities and Empower+ administered by NYSERDA, as well as other programs.

Statewide, utilities have supported approximately 83,000 heat pump installations through the Clean Heat Program from 2020-2024. Con Edison itself has upgraded 43,852 households to efficient heat pumps through the Clean Heat program, including 14,018 households in 2024 alone.[8] While this represents progress toward the CLCPA goals, the Climate Action Council found that approximately one to two million customers need to switch by 2030 in order to hit the goals.[9] One factor in the slower than necessary adoption rates of heat pumps is the operating cost barrier created by electric rate design in New York. When considering what technology to use for heating and cooling, customers must take into account not just the up front cost of the appliances but also the cost of utilizing the appliances over time to meet their heating and cooling needs. In New York, due to the way customers are charged for electricity, the vast majority of heat pump users are paying more to operate their heat pumps than is just and reasonable.

The issue of heat pump electricity rates as a barrier to heat pump adoption was first acknowledged by the state in a January 2019 NYSERDA filing entitled "Analysis of Residential Heat Pump Potential and Economics."[10] In that analysis, NYSERDA found "an inverse cost shift effect where heat pump customers could significantly overpay on their electricity bills under

[8] Case 18-M-0084. Joint Utilities "New York State Clean Heat Program 2024 Annual Report" (April 1, 2025). Pgs.8-9.
[9] New York State Climate Action Council. 2022. "New York State Climate Action Council Scoping Plan." pg 179. Available at: https://climate.ny.gov/resources/scoping-plan
[10] Case 18-M-0084. NYSERDA "Analysis of Residential Heat Pump Potential and Economics" (January 9, 2019)

prevailing residential electric rate structures."[11] NYSERDA describes the inverse cost shift like this:[12]

> The "inverse cost shift" refers to the following effect. Customers who install heat pump technology to replace conventional oil or gas combustion heating and air conditioning increase electricity usage during the winter and decrease electricity usage during the summer. For many customers, the result is a net increase in annual electricity usage that results in a net annual bill increase and increased revenues for the utility. Because the system is generally less constrained in the winter heating season, the increase in cost for the utility to provide the additional electricity in the winter is often less than the increase in revenue for the utility. This phenomenon most typically occurs for installations in the residential sector and is largely due to the structure of volumetrically based retail rates in the residential sector, which are designed to recover both variable costs as well as a portion of fixed-system infrastructure costs through a variable rate.
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> For regulated utilities that earn a specified return on invested capital, an increase in utility revenues that exceeds the cost to serve additional load cannot be retained as profit but must be returned to utility ratepayers. As a result of these dynamics, the installation of a heat pump may lead the customer to start paying for a relatively larger fraction of the total systemwide grid infrastructure costs, which in turn, translates to a rate decrease for ratepayers as a whole; an "inverse cost shift" from non-heat pump ratepayers to the heat pump customer occurs. Rectifying this cost shift could improve the payback for customers.

In January 2020, the Commission approved a rate plan for Consolidated Edison that included a new residential rate option called SC1 Rate IV for geothermal heat pump customers, which the Commission described was "to address concerns raised in some parties' testimony that Con Edison's volumetric delivery rates include[d] recovery of fixed system costs that geothermal customers do not cause to be incurred, and so create a subsidy for other rate payers."[13] Access to this rate was expanded to all residential SC1 customers in 2023.[14]

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[11] Ibid, page S-3
[12] Ibid, page 58-59
[13] Case 19-E-0065. Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan (issued January 16, 2020), pg. 52.
[14] Case 22-E-0064. Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements (issued July 20, 2023).

While SC1 Rate IV has the potential to provide significant savings for heat pump users in ConEd territory, vanishingly few heat pump customers take service under this rate. Fewer than 1% of households that have upgraded to heat pumps through Con Edison's Clean Heat program are enrolled in SC1 Rate IV – the remaining 99% of heat pump households likely overpay for electricity service.[15] In direct testimony filed on behalf of Alliance for a Green Economy in this rate proceeding on May 30, 2025, Alexander Lopez of Rewiring America attributed the abysmally low uptake of SC1 Rate IV to two main factors: the complexity of SC1 Rate IV and the inadequacy of the Company's rate outreach and education.[16] If allowed to continue, the low uptake of appropriate rates for heat pump users will mean that heat pump customers in the Company's territory will lose out on, or effectively be overcharged, by up to $131 million over the next three years.[17]

Lopez testified that SC1 Rate IV is a demand based rate, which is difficult for customers to understand and that "simpler and more understandable rate options are needed to support the broader population of ConEd customers adopting electric heat pumps."[18] Lopez recommended the Company make additional rate options available to customers, such as a seasonal time of use rate and a seasonal flat rate, both of which were proposed by Environmental Defense Fund ("EDF") witness Ron Nelson,[19] and which Lopez described as more understandable and predictable than SC1 Rate IV.[20]

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[15] Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service, Cases 25-E-0072 & 25-G0073, Direct Testimony of Alexander Lopez, May 30, 2025). Pg. 6
[16] Ibid, pgs 30-37.
[17] Ibid, pgs 6-7.
[18] Ibid, pg 33.
[19] Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service, Cases 25-E-0072 & 25-G0073, Direct Testimony of Ron Nelson, (June 16, 2025). Pg 6.
[20] Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service, Cases 25-E-0072 & 25-G0073, Direct Testimony of Alexander Lopez, May 30, 2025). Pgs 38-39.

Additionally, Lopez recommended several improvements to the Company's rate education and outreach, including customer-facing rate tools that allow customers to compare their bills under different rate options.

The Joint Proposal incorporates some of these recommendations. First, the Company commits to a study that will be used to improve its existing seasonal time of use rate (SC1 Rate III), making the peak periods more appropriate. This is expected to result in a seasonally differentiated time of use rate that will help heat pump customers save money as compared to the default rate.[21] This rate will be simpler and easier to understand than SC1 Rate IV, which will remain in effect as an option for customers who want to manage their demand to save money on that rate.

Second, the Company commits to a variety of improvements to its education and outreach to customers about their rate options, including a "Heat Pump Operating Economics Customer Engagement Plan" ("Engagement Plan").[22] The Engagement plan will include promotion of rate options in the Clean Heat program literature and educational initiatives for contractors. It will also include marketing and outreach about rates to heat pump customers and will incorporate personalized rate tools that help customers compare rates and understand how rate options could benefit them. The Company will also provide proactive rate comparison reports, at a minimum of once per year, to residential customers that have adopted heat pumps, EVs and other priority Distributed Energy Resources "to provide sufficient information for customers to make an informed decision to determine the most appropriate rate."

[21] Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service, Cases 25-E-0072 & 25-G0073, Joint Proposal (November 5, 2025). Pg 54, footnote 47.
[22] Ibid, pgs 68-69.

III. Conclusion

Taken together, the improvements to SC1 Rate III and the Heat Pump Operating Economics Customer Engagement Plan will help families save money when they switch to clean, efficient heat pumps. The provisions in the Joint Proposal make the Company's rates more just and reasonable, reduce an operating cost barrier to heat pump adoption, thereby advancing achievement of the state's greenhouse gas reduction policy.

The Joint Proposal contains several other improvements over the Company's original proposal. These include, but are not limited to, the dramatic reduction in proposed bill impacts, improved language access commitments, improved outreach around the Energy Affordability Program, inclusion of greenhouse gas accounting, and improvement of outreach for the Company's Energy Exchange program which helps customers avoid gas service line replacements by fully electrifying their homes.

For all of these reasons, AGREE supports the Joint Proposal and recommends the Commission adopt the agreement at an upcoming session.

Respectfully submitted,

/s/
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